

CHAPTER-2

Consideration and Privity of Contract

A structured study note on the Indian Contract Act, 1872, Sections 2(d), 23-25. Select any topic below to jump to that page. Each page links back to this contents page.

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Work the facts before reaching a conclusion

CHAPTER-2 / STUDY NOTE 1

1. Consideration under Section 2(d)

The act, abstinence or promise exchanged

STATUTORY DEFINITION

Under Section 2(d), when, at the desire of the promisor, the promisee or any other person has done or abstained from doing, does or abstains from doing, or promises to do or abstain from doing something, that act, abstinence or promise is consideration for the promise. The statutory words cover past, present and future forms of consideration.

The act must be at the promisor's desire. A helpful act performed without such a request does not become consideration merely because the promisor later benefits. Section 25(2) supplies a distinct exception for certain later promises to compensate a voluntary act; analyze its requirements separately.

SPOT THE EXCHANGE

A promises to pay B Rs. 2,000 if B delivers a book. B's promised delivery can be consideration for A's promise. Identify the promisor, the requested act or abstinence, and the promise for which it is given. A benefit to the promisor is not the only possible form: a requested detriment or abstinence can also qualify.

CHAPTER-2 / STUDY NOTE 2

2. Forms and source of consideration

Past, present, future; promisee or another person

THREE TIME FRAMES

Past: at the promisor's desire, a person has already done or abstained from doing something before the promise. Present: the person does or abstains from doing it as the promise is made. Future: the person promises to do or abstain later. Section 2(d) expressly embraces each time frame; state the facts that make the act requested.

Example: A asks B to repair a door, then promises payment after B completes the repair. B's completed work at A's desire can count as past consideration. If B independently repaired it with no request from A, do not assume Section 2(d) applies; check Section 25(2) if A later promises compensation.

WHO MAY PROVIDE IT?

The promisee or any other person may provide consideration under Section 2(d). Thus consideration need not come personally from the promisee. This proposition does not by itself give every person who supplied consideration a right to sue on a contract to which that person is not a party.

CHAPTER-2 / STUDY NOTE 3

3. Two different privity questions

Privity of consideration versus privity of contract

PRIVITY OF CONSIDERATION

This asks who supplied the act, abstinence or promise. Indian Contract Act Section 2(d) allows the promisee or another person to provide it, provided it is at the promisor's desire. A promisee therefore does not fail this test merely because someone else furnished the consideration.

PRIVITY OF CONTRACT

This asks who is a party to the contract and may enforce its promise. Ordinarily a person who is not a contracting party cannot sue solely on that contract. A third person's provision of consideration under Section 2(d) does not automatically make that person a contracting party or confer an enforcement right.

Example: A promises B to pay C, and B gives the requested consideration. C is named to receive the benefit but is not necessarily a party. Identify the parties and any independent legal basis for C's claim before saying C can enforce it. In a problem answer, keep the source of consideration separate from the identity of the claimant.

CHAPTER-2 / STUDY NOTE 4

4. Claims involving a third person

Identify the legal route before finding a right

RECOGNIZED ROUTES TO EXAMINE

A beneficiary of a valid trust may claim through the trust relationship rather than merely as a stranger to a bargain. An assignee may claim transferred contractual rights, subject to the governing law and the terms of the assignment. In agency, the principal may be a contracting party through an authorized agent. Determine the basis and its requirements on the given facts.

Some family arrangements or settlements may create a separate enforceable entitlement. Do not describe a promise that merely benefits a relative as automatically enforceable by that relative; show the arrangement, the claimant's right, and any required formalities.

EXAM METHOD

Draw three names: promisor, promisee and claimant. Ask (1) who promised whom, (2) who supplied consideration under Section 2(d), and (3) whether the claimant is a party or has an independently established right. Treat each question separately.

CHAPTER-2 / STUDY NOTE 5

5. Lawful consideration and object

Indian Contract Act, 1872 - Sections 23 and 24

SECTION 23'S SIX GROUNDS

Consideration or object is unlawful if it is forbidden by law; would defeat the provisions of a law if permitted; is fraudulent; involves or implies injury to the person or property of another; or the court regards it as immoral or opposed to public policy. The final two grounds are separate grounds; list them separately in an answer.

An agreement with an unlawful object or consideration is void under Section 23. Explain which ground applies and why. A lawful payment does not save an agreement whose object is unlawful, and a lawful object does not save unlawful consideration.

SECTION 24: MIXED UNLAWFULNESS

If any part of a single consideration for one or more objects, or any one or any part of one of several considerations for a single object, is unlawful, the agreement is void. Apply the statutory formulation to the structure of the bargain. Do not assume that removing a phrase always cures the agreement.

CHAPTER-2 / STUDY NOTE 6

6. Agreements without consideration

Section 25's default rule and stated exceptions

DEFAULT AND THREE PRINCIPAL EXCEPTIONS

Section 25 says an agreement made without consideration is void unless it falls within its stated exceptions: (1) a written and registered agreement made on account of natural love and affection between parties standing in a near relation; (2) a promise to compensate, wholly or in part, someone who has already voluntarily done something for the promisor, or something the promisor was legally compellable to do; or (3) a written and signed promise by the debtor or a duly authorized agent to pay wholly or in part a debt that would be barred by limitation but for the promise.

GIFT AND ADEQUACY

Section 25 preserves a gift actually made as between donor and donee. Its Explanation 2 says inadequate consideration alone does not make an agreement void when consent was freely given; inadequacy may, however, be considered when deciding whether consent was freely given. A small amount and no consideration are different questions.

CHECKLIST

Identify the missing consideration, then test every element of the claimed exception: near relation plus natural love and affection plus writing and registration; a prior voluntary act or legally compellable act; or a signed written time-barred debt promise. Do not blend their requirements.

CHAPTER-2 / STUDY NOTE 7

7. Practice and statutory index

Work the facts before reaching a conclusion

PROBLEM A - A STRANGER SUPPLIES THE ACT

A promises B to sell a bicycle if C pays Rs. 3,000 at A's request. C pays. Model approach: Section 2(d) permits consideration from another person, so B's promise is not defeated merely because C paid. Whether C can enforce the bargain is a separate privity-of-contract question requiring a legal basis.

PROBLEM B - LATER GRATITUDE

B spontaneously fixes A's gate. A later promises B Rs. 500. Model approach: Section 2(d)'s 'desire of the promisor' must be tested; B's spontaneous act was not requested. Consider whether Section 25(2)'s voluntary-act exception supports the subsequent promise, subject to its facts.

PROBLEM C - UNLAWFUL PURPOSE

A promises B money to falsify a record. Model approach: identify the consideration and object, then Section 23's applicable ground or grounds. An unlawful object makes the agreement void; Section 24 may matter when a single bargain mixes lawful and unlawful parts.

PRIMARY STATUTORY READING

Indian Contract Act, 1872, Sections 2(d), 23, 24 and 25 (official India Code):

<https://www.indiacode.nic.in/bitstream/123456789/2187/2/A187209.pdf> . For a real dispute, check the current Act and applicable amendments and case law.